



## **Increasing AOV for Blinkit Through Better Discovery & User Experience**



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# MARKET POTENTIAL & PRODUCT OVERVIEW

## Industry Analysis



### Dark Stores

Micro-fulfillment centers 2,500–4,000 sq ft within 1.5–3km of customers



### Speed Promise

Orders picked in <120 sec; delivered in 10–30 min via AI-optimized routes



### AI-Powered

Deep learning for SKU-level demand forecasting & dynamic routing



### 15,000+ SKUs

From groceries to electronics, beauty and fashion — one super-app

**\$3.5B**

Market Size  
2024

**\$35B**

Projected Size  
2030

**10x**

Growth  
CAGR

**45%**

Blinkit  
Market Share

# MARKET POTENTIAL & PRODUCT OVERVIEW

## Market GMV Growth

\$0.3B

2022 — Nascent Phase

\$6.5B

2024 — Rapid Scaling

\$8.8B

2025P — Non-Grocery Pivot

\$35B

2030P — Structural Dominance

## Market at a Glance

 ~65% of all online grocery orders in India

 ~10% of total e-retail spending today

 60% new shoppers from Tier 3+ cities since 2020

 4.5 orders/month average per household

## Category Evolution — The Super-App Pivot

Groceries & FMCG



Beauty & Personal Care



Electronics



Fashion (emerging)



## Unit Economics Snapshot

Avg Order Value ₹450 – ₹709

Gross Margin 20% – 25%

Delivery Cost / Order ₹35 – ₹55

Dark Store Break-even >800 orders/day

# COMPETITOR BENCHMARKING

## BLINKIT

Zomato

Market Share: 45–50%

AOV  
₹460-500

Delivery  
10–15 min

Reach  
30+ metros

UX  
Premium / Organized

Loyalty  
Zomato Gold

### KEY EDGE

Widest SKUs (15,000+), electronics, contextual UX triggers

## ZEPTO

Zepto

Market Share: 21–29%

AOV  
₹607-650

Delivery  
~11 min

Reach  
10+ metros

UX  
Minimalist / Lightning

Loyalty  
Zepto Pass

### KEY EDGE

Highest rating (4.7/5), Zepto Café, density-first model

## SWIGGY INSTAMART

Swiggy

Market Share: 23–27%

AOV  
₹487–619

Delivery  
15–30 min

Reach  
580+ cities

UX  
Integrated / Cluttered

Loyalty  
Swiggy One

### KEY EDGE

Largest rider fleet (500K+), Swiggy Bolt 10-min tier

## JIOMART

Reliance

Market Share: #2 by orders

AOV  
Variable

Delivery  
30 min / Sched.

Reach  
1,000+ cities

UX  
Functional / Omni

Loyalty  
Reliance One

### KEY EDGE

Widest reach, WhatsApp ordering, 19,000+ stores



## Rahul, 27

*The Rushed Professional*

Daily user

Low AOV

Single-item orders

High churn risk

### Pain Points

- Opens app for one item — never browses
- Switches apps instantly if item is out of stock
- Search fails on minor typos → gives up
- No feature pulls him back between orders

*"I just need my oat milk. Just let me find it and pay."*

### AOV Impact

Rarely crosses ₹300 per order

### Retention Risk

Very High risk. Zero emotional attachment to any app.



## Priya, 34

*The Household Manager*

Weekly planner

High AOV potential

Multi-item shopper

Medium retention

### Pain Points

- Re-searches the same 20 items every single week
- Coupon fails silently at checkout after filling cart
- Homepage isn't personalised to her family
- No list-building or 'save favourites' feature

*"Why do I search 'Aashirvaad atta 5kg' every week? I've ordered it 40 times."*

### AOV Impact

Would jump from ₹800 → ₹1,500+ with a prompt discovery of 'My Weekly or Periodic' needs

### Retention Risk

Medium. Loyal if app saves time. Churns if it wastes it.

# USER PERSONAS



## Arjun, 22

*The Offer Hunter*

Price-driven

Multi-app switcher

Impulse buyer

Very high churn

### Pain Points

- Opens 2–3 apps to compare deals before every order
- Offer terms hidden — discount disappears at checkout
- Adds random items just to hit the free-delivery threshold
- No loyalty benefit keeps him on one platform

*"I checked Blinkit, Zepto and Instamart before ordering chips. Zepto had 30% off. So I went there."*

#### AOV Impact

Spends more when bundle deals are clearly visible upfront

#### Retention Risk

Very High risk. A ₹30 saving will send him to a competitor.



## Suresh, 33

*The Responsible Son*

Intermediate User

Tech-savvy

Trust barrier

Untapped AOV Lift

### Pain Points

- Gets interrupted mid-work every time his father tries to place an order
- Has to walk his father through every step over call
- Doesn't know if the parent successfully placed the tight order

*"My father calls me every time he wants to order something. Every. Single. Time. I'll be in a meeting and get a WhatsApp — 'beta, did I press the right button?' If I could just set up his grocery list once, and he taps what he needs, and I get one notification to approve and pay — that's it."*

#### AOV Impact

Would order essentials in bulk repeatedly consistently if the process is easy

#### Retention Risk

Never acquired in the first place — completely untapped pain point

# PERSONA PRIORITIZATION

1



**Suresh, 33**

*The Responsible Son*

Would order essentials in bulk repeatedly if the process is easy

2



**Arjun, 22**

*The Offer Hunter*

Spends more when bundled deals are clearly visible upfront

3



**Priya, 34**

*The Household Manager*

Would jump from ₹800 → ₹1,500+ with a prompt discovery of 'My Weekly or Periodic' needs

4



**Rahul, 27**

*The Rushed Professional*

Very High risk. Zero emotional attachment to any app.

# PRIMARY & SECONDARY RESEARCH

## PRIMARY RESEARCH

User Survey · n=12 respondents

- Why users open the app  
Reactive triggers — 'ran out of milk' dominates over planned buying
- First action on search  
Most users type directly into search; browse/category is secondary
- Discovery friction  
Majority reported difficulty finding products when results don't match
- Cart abandonment drivers  
Price sensitivity & delivery fees are top cart-blockers
- AOV boosters  
Free delivery threshold & bundle deals most likely to increase spend
- Older user pain points  
Small text, complex navigation & payment flow are key barriers

## SECONDARY RESEARCH

Industry analysis · Expert benchmarking



### Product Discovery

Users abandon when search results don't match typed queries



### Retention & Habits

Reactive, not proactive usage. No loyalty loop built in



### Older Proxy Users Ignored

55+ users rely on family to order — untapped segment



### Low Cart Value (AOV)

Single urgent item triggers — open, buy one, leave



### Checkout Friction

Coupon failures & opaque T&C = key drop-off point

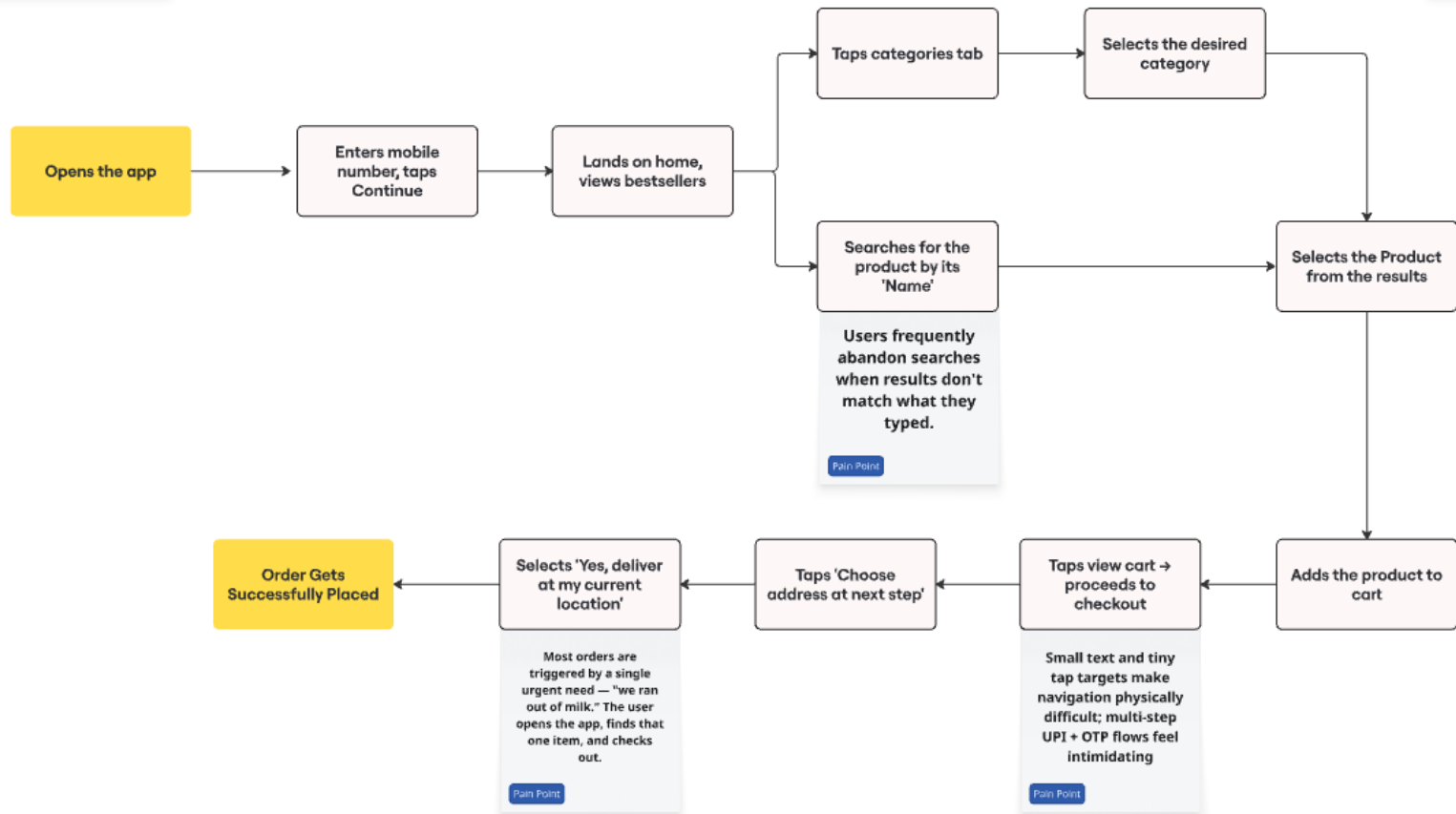


### Multi-App Switching

Zero switching cost — users flip for best stock or price



# USER FLOW (Placing an Order on Blinkit)



# OBSERVED USER PAIN POINTS



## Product Discovery & Search

Browsing categories isn't much helpful — the taxonomy is built around warehouse logic, no thought a person thinks when they're cooking or shopping.



## Homepage Relevance

Personalization is shallow — "top picks" and "trending near you" feel like filler rather than genuine curation. This directly suppresses both engagement because users who don't see relevant content on the homepage stop scrolling



## Checkout & Payment Friction

Very High Priority

The barriers are layered: small text and tiny tap targets make navigation  
Physically difficult;  
Multi-step UPI + OTP flows feel intimidating;



## Multi-App Switching

High Priority

There's no deep loyalty, no feature or experience that's differentiated enough to keep someone committed.

# PROPOSED SOLUTIONS WITH PRIORITISATION

## 1 Smart Bundles

Horizontally scrollable bundle cards on the home screen (below Frequently Ordered), filterable by category (Breakfast, Snacks, etc). Bundle items group in cart as a single line item with a "Bundle" badge.

EFFORT

MEDIUM

IMPACT

HIGH

AOV LIFT

HIGH

## 2 Blinkit Buddy Mode

A linked-account system where a "buddy" sets up a simplified Easy Shop UI for a non-tech user. Users select frequent items in a large, accessible format & submit the list for the buddy to complete payment

HIGH

HIGH

HIGH

## 3 Cart Nudge (Save More, Add More)

A dynamic savings nudge bar at the checkout section whenever the cart total is below a threshold. "Add items worth ₹XX more to save ₹YY" with animated fill bar to show how close user is to unlock the discount

LOW

MEDIUM

MEDIUM

## 4 Recipe Discovery from Cart

Once food items are in the cart, a "🔍 Recipes You Can Make" card appears in the cart screen which is auto matched to the ingredients, also asking to add more items to complete the recipe preparation

HIGH

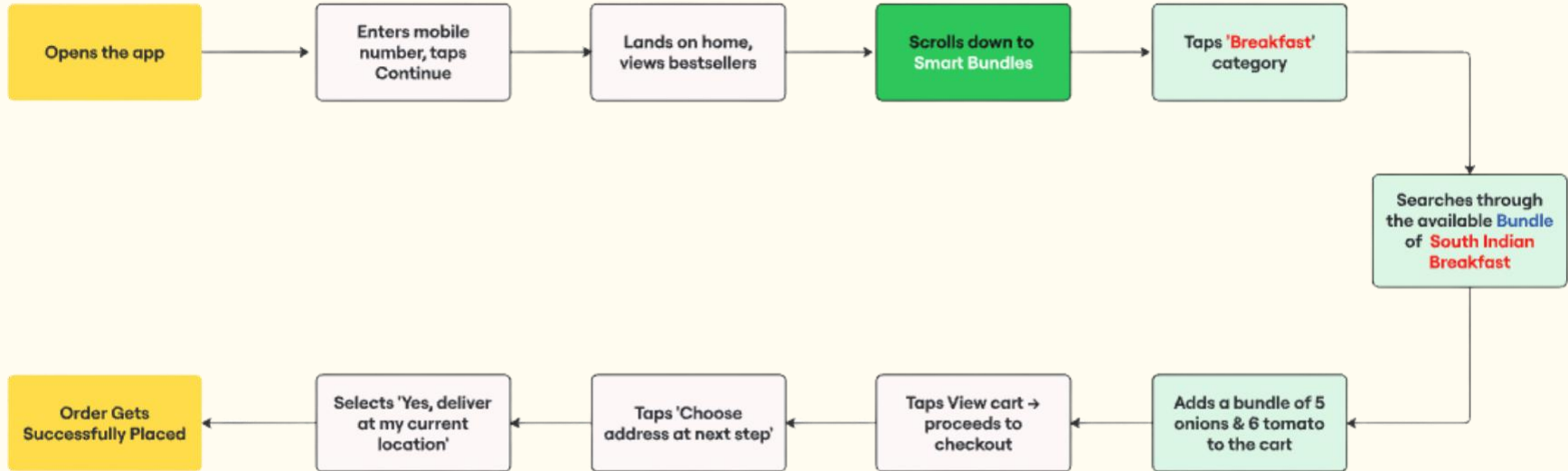
MEDIUM

MEDIUM

# REVISED USER FLOW

## 1 Smart Bundles Solution

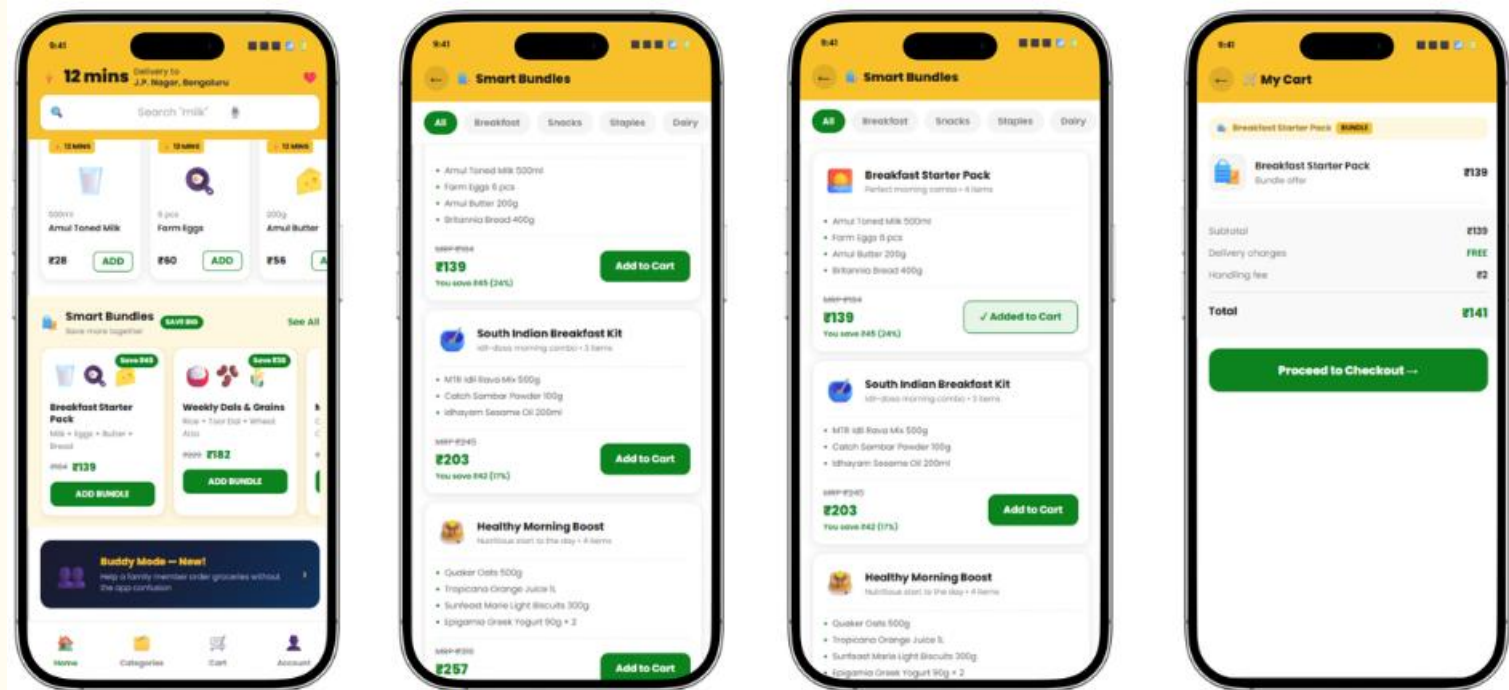
### Placing an Order for a Bundle



# REVISED USER JOURNEYS

## 1 Smart Bundles Solution

### Placing an Order for a Bundle



# REVISED USER FLOW

## 2 Buddy Mode

### Adding A Member to the Buddy



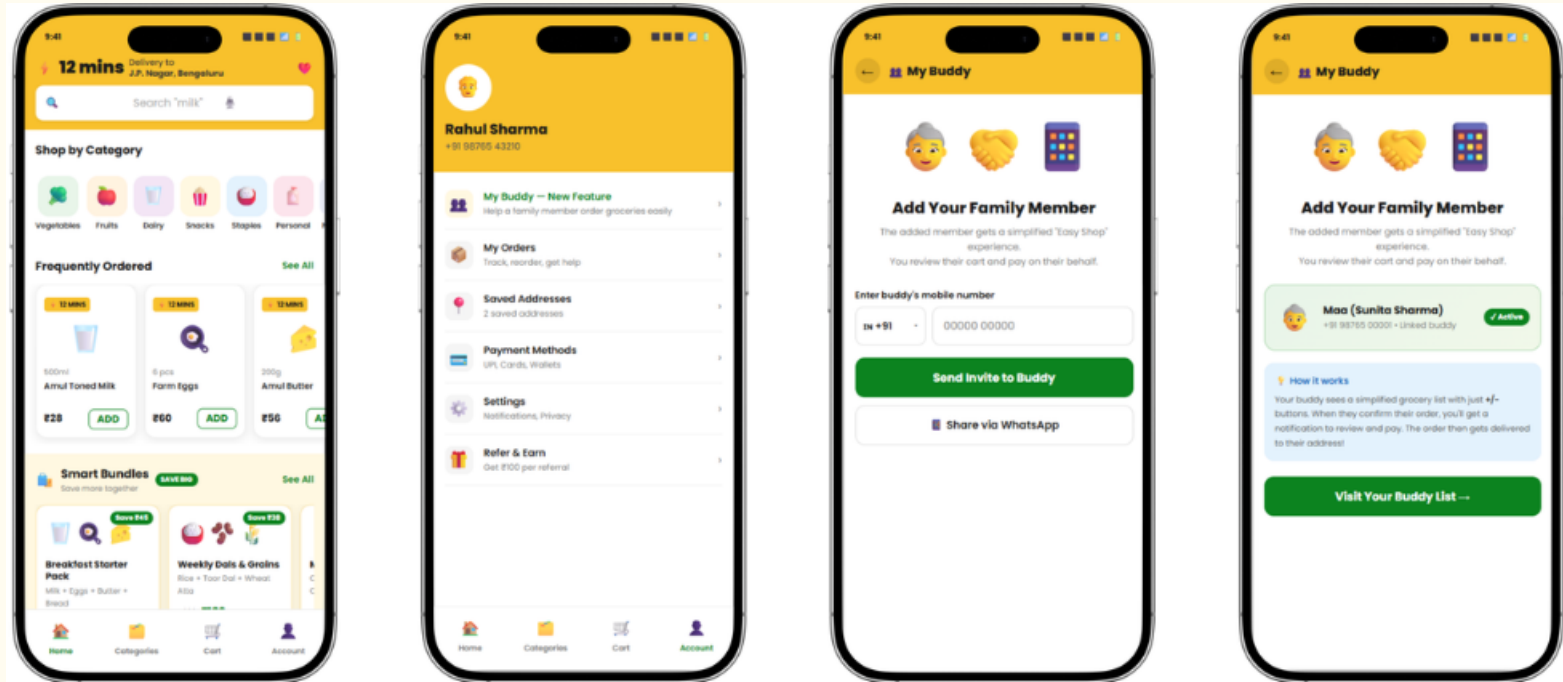
### Placing the Order through the Buddy



# REVISED USER JOURNEYS

## 2 Buddy Mode

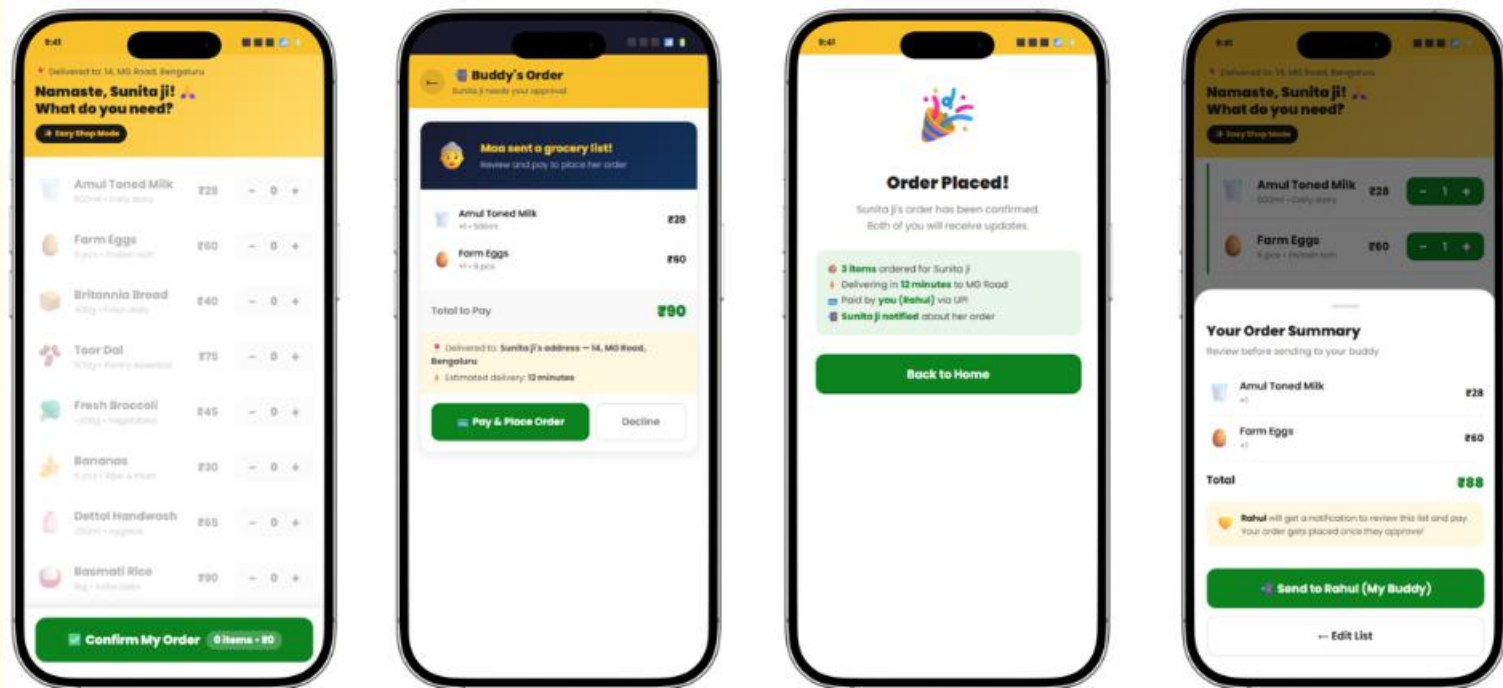
### Adding A Member to the Buddy



# REVISED USER JOURNEYS

## 2 Buddy Mode

### Placing the Order through the Buddy





# BUSINESS IMPLICATIONS

## SMART BUNDLES

↑ AOV

### Structural GMV uplift

A single bundle tap adds 4–6 items in one gesture vs the current 1–2 item search-and-add cycle.

## BUDDY MODE

↑ TAM

### New GMV cohort

Every order placed through Buddy Mode is incremental GMV that does not exist today — it expands the addressable market, not just monetises existing users harder.

## BUDDY MODE

Defensibility

### First-mover in assisted commerce

Buddy Mode is a defensible category that competitors cannot replicate in weeks. The moat is the elder-user trust built over repeated orders — not the code.

## SMART BUNDLES

Retention

### Habit lock-in

A user who repurchases the same bundle  $\geq 3$  times builds a cognitive shortcut around the platform. This is switching-cost creation without any loyalty programme spend.

# FEATURE METRICS TO BE MONITORED

## Smart Bundles Solution

### ADOPTION

**Bundle card CTR%** of home-screen sessions that tap any bundle card. Baseline readiness signal — low CTR = poor placement or irrelevant curation, not a conversion problem.

### CONVERSION & AOV

**Bundle add-to-cart rate%** of bundle card taps that result in "Add Bundle" being pressed. Validates that bundle contents and discount depth are compelling enough to convert intent.

### RETENTION

**Same-bundle repurchase rate (D30)%** of bundle buyers who reorder the same bundle within 30 days. The habit formation signal — indicates bundles are becoming a reorder shortcut, not a novelty.

## Buddy Mode

### ACQUISITION & SETUP

**Buddy invite sent rate%** of users visiting the "Add a Buddy" screen who complete the invite flow (phone number entered + invite sent). Top-of-funnel health check.

### USAGE & EXPERIENCE

**Shop session completion rate% of Buddy Mode sessions** that result in a "Send to Buddy" submission. Core usability metric — Suresh must be able to complete the flow unaided.

### CHURN RATE

**Buddy account D30 churn rate%** share of linked buddy accounts that place zero orders in the 30 days following their first order. Since this cohort has never been acquired before, any churn reading sets the baseline.